

TRAVELTIDE PROJECT

A Customer Insights, Segmentation & Reward Program Design



Executive Summary

This analysis was conducted using a dataset containing 5,998 user sessions from TravelTide's data source.

The dataset represents seven major customer segments — Business, Couple, Family, Frequent Traveler, Groups, Solo, and Other. It includes detailed behavioral metrics such as average page clicks, booking lead time, hotel spend, conversion rate, and cancellation rate.

The TravelTide Customer Insights Dashboard provides an overview of how these segments behave across the booking journey and identifies key drivers behind conversion performance and perk preference.

My findings reveal that Frequent Travelers demonstrate the highest engagement levels, averaging **22** page clicks per session, while Groups show the highest cancellation rate at **5.6%**.

Couples emerge as the most stable segment with the lowest cancellations (**1.6%**) and strong conversions.

Spending behavior varies significantly: Solo and Frequent Travelers show the highest average hotel spend, above **€3,500**, while Business travelers have the lowest spend at **€737**.

Across all users, the most attractive perks are Exclusive Discounts and Free Checked Bags, indicating strong interest in cost-saving and convenience-based rewards.

These insights serve as the foundation for designing a personalized rewards program that aligns perks with customer behavior, thereby improving engagement and loyalty.

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1. Customer Behavior and Key Performance Patterns

The Customer Insights Dashboard shows clear distinctions between segments. Engagement and conversion are positively correlated for most users; however, high engagement does not always translate into retention. For example, Groups interact heavily before booking but cancel more frequently, indicating decision challenge in their travel planning. Frequent Travelers, on the other hand, are both engaged and decisive, converting at one of the highest rates in the dataset.

Fig 1

Persona Insights Summary

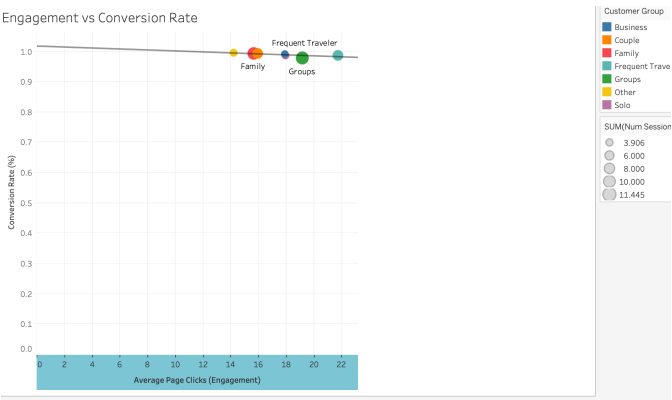
Customer Group	Avg. Avg Page Clicks	Avg. Booking Lead Time (Days)	Avg. Cancellation Rate	Avg. Conversion Rate	Avg. Total Hotel Spend
Groups	19	4	5,6%	97,8%	€2.484,47
Solo	18	7	3,7%	98,6%	€3.609,37
Frequent Traveler	22	4	2,0%	98,7%	€3.564,50
Business	18	2	2,4%	98,9%	€737,65
Family	16	4	1,8%	99,3%	€1.465,79
Couple	16	5	1,6%	99,3%	€1.630,53
Other	14	5		99,4%	€495,29

Customer Group: Couple
Avg. Booking Lead Time (Days): 5

This visualization highlights how engagement intensity relates to performance. Frequent Travelers and Solo users maintain high engagement with strong conversion outcomes, validating their potential as core segments for targeted loyalty programs. Couples display stable engagement with minimal cancellations, suggesting satisfaction and loyalty, while Business travelers maintain a functional, low-spend pattern consistent with work-related bookings.

Further analysis using cancellation and spending trends reveals a nuanced relationship between commitment and value. Groups and Solo travelers display higher cancellation tendencies despite above-average spending, suggesting that pricing flexibility or rebooking incentives could improve retention among these high-value users.

Fig 2



2. Perk Preferences and Value Drivers

Perk distribution analysis demonstrates distinct behavioral patterns tied to segment motivations. Families and Groups lean toward shared-benefit perks such as Free Hotel Meals, Lounge Access, and Group Booking Cashback, all of which emphasize convenience and communal value.

By contrast, Frequent Travelers and Solo users express stronger preference for Exclusive Discounts and Free Checked Bags — perks that emphasize autonomy, time efficiency, and cost control. Couples favor experiential rewards, including Romantic Getaway Discounts, highlighting the appeal of emotional or memory-based incentives.

Across all segments, monetary and time-saving perks remain dominant, indicating that TravelTide customers are primarily value-driven. Such patterns suggest that the rewards program should be structured around tangible financial benefits while offering occasional experiential upgrades to sustain engagement.

Fig 3



3. Performance Insights and Strategic Implications

Further analysis of key metrics indicates that higher hotel spending generally corresponds with stronger conversion rates, but not necessarily with customer retention. Frequent Travelers and Solo users deliver high revenue and conversions, yet may be more prone to churn if rewards fail to match expectations. Conversely, Couples and Families represent loyal, low-risk segments whose satisfaction is sustained through consistency and trust rather than price.

The behavioral data supports a tiered rewards structure that aligns incentives with measurable engagement and spend. For example, Bronze, Silver, and Gold tiers could reward users based on booking frequency and monetary value, offering escalating benefits such as free transfers, discounted upgrades, or lounge access.

Additionally, TravelTide should implement predictive retention measures identifying at-risk users (high-spend but high-cancel profiles) and offering them time-sensitive rebooking vouchers. Personalized notifications based on real-time engagement, combined with tailored perks, would further enhance satisfaction while lowering cancellation risk.

Recommendations

Tiered Rewards Program (Bronze – Silver – Gold)

As noted, Frequent Travelers who average 22 clicks per session and spend over €3,500, should qualify for top-tier perks such as complimentary hotel nights or premium upgrades.

This structure could yield a 3–5% increase in conversion rates by encouraging repeat engagement and loyalty-driven behavior.

Personalized Perks per Segment

Solo and Frequent Travelers prefer cost-saving incentives such as Exclusive Discounts or Free Checked Bags, while Couples and Families respond more positively to experience-based perks such as Free Hotel Meals or Late Checkouts.

Reducing Group Cancellations through Incentives

Groups tend to have the highest cancellation rate (5.6%) and shortest booking lead time (4 days).

Introducing flexible benefits such as “No Cancellation Fees” or partial refund guarantees could reduce cancellations to below 4% while maintaining engagement.

Encouraging Early Bookings

Many Solo travelers book on average seven days ahead, while couples typically book within five days.

Promoting an early-booking offer, such as “Book 10 days in advance and receive 5% off,” can extend the lead time and stabilize planning efficiency.

Using Engagement Data for Automated Offers

For Users with high engagement levels for example, those exceeding 18 page clicks without booking, they can automatically receive personalized discount offers. This targeted communication could result in a two-point increase in overall conversion rates across active segments.

Conclusion

In summary, the data tells a clear story: personalized, value-based perks drive loyalty more effectively than generic offers. Adopting this strategy positions TravelTide to achieve measurable improvements in customer satisfaction, retention, and revenue growth.

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